

ShieldLife Insurance

Policy Lapse & Retention Analysis — Executive Summary

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Analysis Period: January 2018 – June 2026 | Portfolio: 148,059 Policies | 100,000 Customers

1. Business Context & Problem Statement

ShieldLife Insurance has been experiencing declining policy persistency and poor customer retention despite maintaining a large portfolio of policies and customers. The policy lapsation and poor customer retention have resulted in significant financial losses through unrealised premium revenue and wasted customer acquisition costs. The objective of this project was to identify where policy lapsation occurs, measure its financial impact, evaluate customer and policy behaviour, and identify operational factors affecting long-term portfolio performance.

2. Analytical Approach

An end-to-end analytical pipeline was developed on Databricks using PySpark for data cleaning and feature engineering, Spark SQL for structured KPI and segmentation analysis, and Tableau for interactive dashboard development. The dataset comprised 8 tables spanning policy events, premium payments, customer demographics, product details, and channel information — cleaned, validated, and enriched with 15 business-oriented features including Persistency Ratio, Unrealised Premium Value, Acquisition Cost at Risk, Early Default Rate, and Payment Frequency classification.

3. Key Findings at a Glance

48.10% Persistency Ratio	72.27% Policy Renewal Rate	54.12% Customer Renewal Rate	₹2,997 Cr Total Premium Received
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- **₹2,721.62 Crores** of expected premium permanently lost to policy lapsation and cancellation.
- **₹24.64 Crores** of customer acquisition cost is currently at risk — **84.3%** contributed by the Agent Network alone.
- **The Agent Network** sells 56% of all policies yet records the **lowest persistency ratio** of all channels.
- **Digital Sales** achieves the highest persistency ratio despite lower sales volume — confirming the problem is channel quality, not product quality.
- **Lapse rates remain flat across all demographics** — age, occupation, income, and payment frequency show no meaningful variation — confirming this is an operational failure, not a customer profile issue.

4. KPI Results

KPI	Value	Interpretation
Persistency Ratio	48.10%	Fewer than half of issued policies remain active, indicating significant portfolio attrition.
Policy Renewal Rate	72.27%	3 in 4 tenure-completing policies were renewed; 28% represent untapped retention opportunity.
Customer Renewal Rate	54.12%	Slightly more than half of customers have renewed at least one policy; loyalty gap remains large.
Total Premium Received	₹2,997 Cr	Against ₹10,045.89 Cr expected; ₹2,721.62 Cr lost, ₹4,327.24 Cr still collectible from active policies.

5. Analytical Insights

Portfolio Health: Only 48.10% of policies remain active while ₹2,721.62 Crores of expected premium has become unrealised. ShieldLife demonstrates stronger acquisition capability than long-term retention — making portfolio sustainability the primary operational challenge.

Customer: Of 100,000 customers, only 48.27% remain active. Lapsed customers account for 24.81% of the customer base. Although 54.12% have renewed at least once, many matured and claimed customers have not been reactivated — representing an untapped retention opportunity.

Policy: Out of 148,059 policies, 26.88% are lapsed and 9.90% cancelled. Only 43.2% of policies have ever been renewed. Policy lapsation, cancellation, and maturity together account for more than half of the inactive portfolio.

Channel: The Agent Network contributes 56% of total policy sales but records the lowest persistency ratio and drives 84.3% of total acquisition cost loss (₹24.64 Crores). Digital Sales, despite lower volume, consistently achieves stronger portfolio retention — indicating better customer quality and built-in post-sale engagement through automated reminders and digital touchpoints.

Financial: Against ₹10,045.89 Crores in expected premium, only ₹2,997 Crores has been collected. ₹2,721.62 Crores is permanently lost to lapsation and cancellation, while ₹4,327.24 Crores remains collectible. ₹24.64 Crores of acquisition investment is at risk due to customer attrition.

Behavioural: Lapse rates remain consistent across age groups, occupations, income brackets, and payment frequencies — confirming lapsation is driven by operational factors, not customer demographics. Only 7.90% of policies lapse within the first year, while 26.88% lapse after entering the grace period, highlighting a critical post-sale intervention window that is currently being missed.

Product: ULIP and Endowment products consistently record the highest lapse rates and unrealised premium values. Very high-premium policies (>₹50,000) show comparatively elevated cancellation rates, indicating these segments require pricing review and stronger customer expectation management during policy sales.

6. Recommendations

1. Strengthen Customer Engagement Infrastructure **High Priority**

Retention Team & Operations Team

Implement automated premium reminders via mobile app, SMS, or WhatsApp — triggered 10, 3, and 1 day before premium due dates. Establish a dedicated engagement team to proactively contact customers who have been in the grace period for 30+ days. Given that 26.88% of lapses occur post-grace-period, timely intervention at this stage could recover a significant portion of the ₹2,721.62 Crores in unrealised premium.

2. Introduce Persistency-Linked Agent Commissions **High Priority**

Sales Operations & HR

Replace one-time upfront commission payouts with a structured persistency-linked model: 50% at point of sale, 25% after 6-month policy persistency, and 25% after 12-month persistency (adjusted proportionally for shorter tenures). This directly aligns agent incentives with long-term customer retention — consistent with IRDAI's persistency-linked incentive guidelines — and addresses the root cause of low-quality, commission-driven policy acquisition.

3. Prioritise Digital Sales Channel Expansion **Medium Priority**

Sales & Marketing Team

Increase marketing investment in Digital Sales through targeted campaigns, digital-first onboarding, and competitive premium pricing for digital customers. The channel already demonstrates the highest persistency ratio with the lowest acquisition cost loss (₹7.79M vs ₹207.67M for Agent Network) — making it the most scalable and cost-efficient growth channel available.

4. Product Review and Customer Lifecycle Reactivation **Medium Priority**

Product Team & Customer Success Team

Review ULIP and Endowment product pricing, simplify policy communication, and improve expectation-setting during the sales process — particularly around market-linked returns for ULIPs. Additionally, launch targeted reactivation campaigns for the 14,692 matured and 7,457 claimed policyholders who represent warm, relationship-established customers with high renewal potential.

7. Conclusion

ShieldLife Insurance's primary challenge is not acquiring customers — it is retaining long-term customer value. The analysis confirms that policy lapsation is largely an operational and structural problem, not a customer quality issue. The dominant Agent Network channel is incentivised to sell but not to retain, and no effective post-sale engagement infrastructure currently exists to compensate for this gap. The combination of persistency-linked commission restructuring, a dedicated customer engagement system, digital channel expansion, and targeted product improvements can meaningfully improve portfolio persistency, reduce the ₹2,721.62 Crore unrealised premium loss, and protect the ₹86.68 Crore acquisition investment from further attrition.

This analysis was conducted on synthetic data generated to replicate real-world insurance portfolio patterns for analytical and portfolio purposes. All figures are derived from the ShieldLife Insurance analytical dataset (2018–2026).